

United Microelectronics (2303 TT)

 Target price: **TWD108.00** (from TWD71.00)

 Share price (30 Jul): **TWD110.00** | Up/downside: **-1.8%**
5 4 **3** 2 1
Hold
 (unchanged)

Price hike to go through? Still likely

- Increasing forecasts on favourable wafer loading and pricing
- Price hike likely to go through on improving supply/demand
- Maintaining Hold (3) on valuation grounds; higher 12M TP of TWD108

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What's new: Following our [results memo](#), we lift our forecasts and TP for UMC to factor in its stronger-than-expected wafer shipment on AI and automotive & industrial (A&I) strength, followed by order reallocation as a result of the foundry capacity consolidation. We expect its price hike to go through for extra margin accretion and earnings growth, premised upon its optimal utilisation. That said, we remain comfortable with our Hold (3) call on the stock as we believe the volume and ASP strength is already in the price, given the equity market's hefty expectation over 2027-28. TSMC (2330 TT, TWD2,205, Buy [1]) is our preferred foundry exposure.

What's the impact: Forecast changes. We raise our 2027-28E EPS by 10-16% for UMC on 2 reasons: stronger-than-expected wafer shipment and price hike to go through effective in 2027. Thanks to strong demand for AI companion chips such as power management, FPGA (field-programmable gate array) and connectivity including new ramp of SiPh (silicon-photonics) based on 12" wafers for competitiveness, as well as robust demand for A&I chips more than enough to offset consumer weakness, we expect UMC's capacity utilisation rate (CUR) to reach 91% in 3Q26. We further forecast the CUR to reach 100% in 2H27, thanks to extra demand from customers' order reallocation as a result of the foundry capacity consolidation, including PSMC's (6770 TT, not rated) fab P5 sale and TSMC's mature capacity optimisation. Of note, we hike our 2026E EPS by 60% which is inflated by UMC's hefty non-operating gains of TWD30bn in 2Q26 from financial assets marked-to-market and investment gains.

Price hike still likely. Management expects some uplift in wafer prices for 2027; we concur since given our projected CUR ramping trajectory, we still see a good chance for the price hike to go through, so long as the AI buildout cycle sustains to drive favourable supply/demand dynamics amid the foundry capacity consolidation. We are modelling 2-5% hikes effective from 1Q27 across selected process nodes especially related to the AI and A&I applications, which should continue to drive UMC's 28nm-and-below ramp to 45% of revenue (37% in 2Q26) for blended ASP improvement.

What we recommend: Given our forecast revisions, we lift our 12M TP for UMC to TWD108 (previous: TWD71), based on our higher ROE-adjusted PBR target of 3.3x (previous: 2.4x) on 4-quarter-forward BVPS due to higher ROE trajectory. Yet, we keep our Hold (3) rating on the stock as we believe its volume and ASP story already in the price. Key upside/downside risks would be any price hikes above our expectation/geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

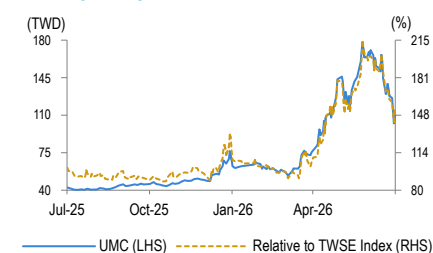
How we differ: Our 2027-28E EPS are 14-19% below the consensus forecasts as we believe the street is too bullish on UMC's pricing power.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	2.6	7.9	6.8
Net profit change	59.9	16.3	10.1
Core EPS (FD) change	59.9	16.3	10.1

Source: Daiwa forecasts

Share price performance



12-month range	40.40-178.50
Market cap (USDbn)	42.60
3m avg daily turnover (USDm)	1,087.57
Shares outstanding (m)	12,577
Major shareholder	United Microelectronics Corp (5.8%)

Financial summary (TWD)

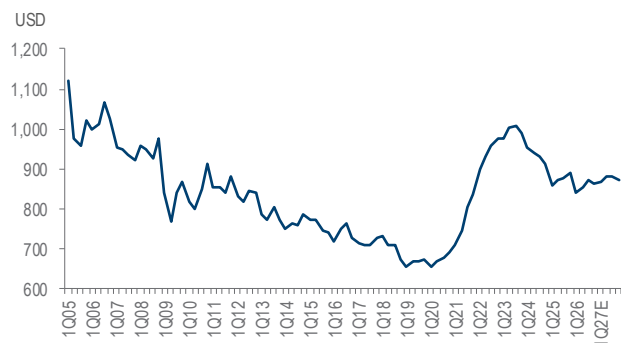
Year to 31 Dec	26E	27E	28E
Revenue (m)	279,217	333,837	364,307
Operating profit (m)	61,364	80,469	93,869
Net profit (m)	89,451	73,274	85,174
Core EPS (fully-diluted)	7.112	5.826	6.772
EPS change (%)	114.6	(18.1)	16.2
Daiwa vs Cons. EPS (%)	47.2	(14.1)	(18.6)
PER (x)	15.5	18.9	16.2
Dividend yield (%)	2.4	3.6	3.6
DPS	2.6	4.0	4.0
PBR (x)	3.6	3.4	3.1
EV/EBITDA (x)	10.0	8.1	7.4
ROE (%)	23.3	18.3	19.9

Source: FactSet, Daiwa forecasts

UMC: quarterly assumptions and P&L forecasts

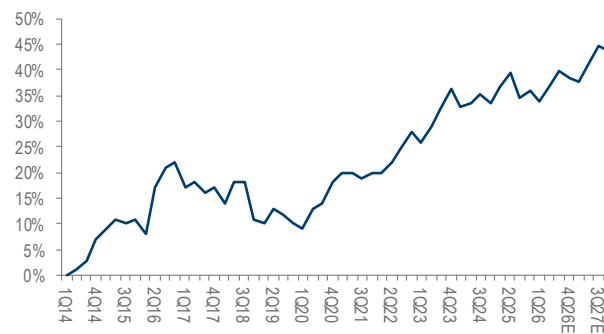
TWDM	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (k, 12" equ)	1,021	1,129	1,201	1,189	1,177	1,319	1,411	1,383	3,872	4,540	5,290	5,782
Capacity utilisation	80%	86%	91%	89%	90%	97%	101%	97%	75%	86%	96%	98%
Blended ASP (USD)	1,890	1,926	1,967	1,940	1,951	1,986	1,988	1,961	1,970	1,933	1,972	1,969
Total revenue	61,038	68,733	75,612	73,835	73,506	83,796	89,746	86,790	237,553	279,217	333,837	364,307
Total revenue (USDm)	1,930	2,174	2,363	2,307	2,297	2,619	2,805	2,712	7,629	8,774	10,432	11,385
COGS	-43,219	-46,410	-49,163	-49,529	-50,253	-54,470	-58,017	-56,829	-168,647	-188,322	-219,569	-234,317
Gross profit	17,818	22,323	26,449	24,306	23,252	29,326	31,729	29,961	68,906	90,896	114,268	129,990
Opex	-6,542	-7,373	-7,864	-7,753	-7,865	-8,463	-8,705	-8,766	-24,958	-29,531	-33,800	-36,121
Operating profit	11,276	14,950	18,585	16,553	15,387	20,862	23,024	21,195	43,949	61,364	80,469	93,869
EBITDA	27,263	31,188	35,485	34,228	33,087	39,062	41,724	40,290	103,206	128,164	154,163	163,560
Non-op gain/loss	5,367	30,236	900	891	900	1,420	2,135	2,043	5,699	37,394	6,498	7,528
Pretax profit	16,644	45,186	19,485	17,444	16,287	22,282	25,159	23,238	49,648	98,758	86,966	101,397
Income taxes	-527	-2,962	-3,118	-2,791	-2,606	-3,342	-4,025	-3,718	-8,113	-9,397	-13,692	-16,224
Net profit	16,117	42,260	16,367	14,653	13,681	18,940	21,133	19,520	41,716	89,451	73,274	85,174
FD O/S (m)	12,579	12,577	12,577	12,577	12,577	12,577	12,577	12,577	12,588	12,577	12,577	12,577
FD EPS (TWD)	1.29	3.36	1.30	1.17	1.09	1.51	1.68	1.55	3.31	7.11	5.83	6.77
Margin												
Gross	29%	32%	35%	33%	32%	35%	35%	35%	29%	33%	34%	36%
Operating	18%	22%	25%	22%	21%	25%	26%	24%	19%	22%	24%	26%
EBITDA	45%	45%	47%	46%	45%	47%	46%	46%	43%	46%	46%	45%
Net	26%	61%	22%	20%	19%	23%	24%	22%	18%	32%	22%	23%
Growth (QoQ)												
Total revenue	-1%	13%	10%	-2%	0%	14%	7%	-3%				
Gross profit	-6%	25%	18%	-8%	-4%	26%	8%	-6%				
Operating profit	-8%	33%	24%	-11%	-7%	36%	10%	-8%				
EBITDA	-2%	14%	14%	-4%	-3%	18%	7%	-3%				
Net profit	61%	161%	-61%	-10%	-7%	38%	12%	-8%				
FD EPS	61%	161%	-61%	-10%	-7%	38%	12%	-8%				
Growth (YoY)												
Total revenue	5%	17%	28%	19%	20%	22%	19%	18%	2%	18%	20%	9%
Gross profit	15%	32%	50%	28%	30%	31%	20%	23%	-9%	32%	26%	14%
Operating profit	15%	38%	67%	35%	36%	40%	24%	28%	-15%	40%	31%	17%
EBITDA	14%	23%	36%	23%	21%	25%	18%	18%	3%	24%	20%	6%
Net profit	108%	375%	9%	46%	-15%	-55%	29%	33%	-12%	114%	-18%	16%
FD EPS	108%	374%	9%	46%	-15%	-55%	29%	33%	-12%	115%	-18%	16%

Source: Company, Daiwa estimates and forecasts

UMC: blended ASP trend*


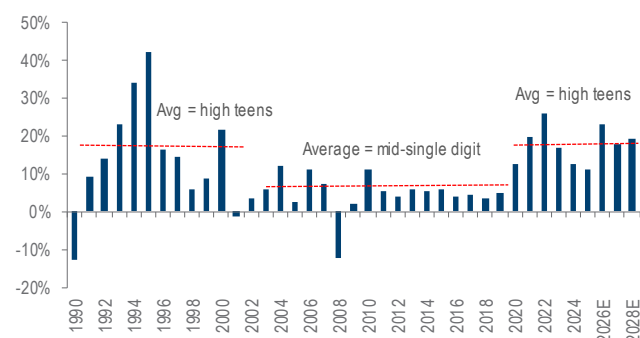
Source: Company, Daiwa estimates and forecasts

Note: * In 8" equivalent wafer

UMC: 28/22nm-and-below revenue contribution*


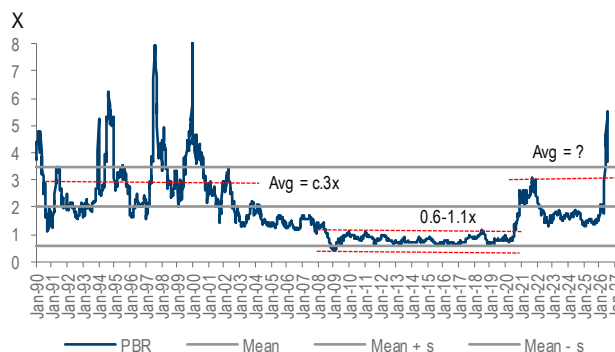
Source: Company, Daiwa estimates and forecasts

Note: * Including 14nmFF

UMC: ROE trend*


Source: Company, Daiwa estimates and forecasts

Note: * Single-year ROE based on year-end equity, not 2-year average

UMC: PBR trend


Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	104	99	68	69	75	86	96	98
Blended ASP (USD)	774	941	994	933	876	859	876	875
Wafer shipment (8" equ., '000)	9,860	9,946	7,190	7,754	8,712	10,216	11,902	13,009

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	213,011	278,705	222,533	232,303	237,553	279,217	333,837	364,307
New Business Revenue	0	0	0	0	0	0	0	0
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	213,011	278,705	222,533	232,303	237,553	279,217	333,837	364,307
Other income	0	0	0	0	0	0	0	0
COGS	(140,961)	(152,941)	(144,789)	(156,649)	(168,647)	(188,322)	(219,569)	(234,317)
SG&A	(7,429)	(8,518)	(6,569)	(8,425)	(7,233)	(10,122)	(12,759)	(13,915)
Other op.expenses	(12,935)	(12,954)	(13,284)	(15,616)	(17,725)	(19,409)	(21,040)	(22,206)
Operating profit	51,686	104,293	57,891	51,613	43,949	61,364	80,469	93,869
Net-interest inc./(exp.)	(1,387)	156	3,283	1,914	676	1,110	2,095	2,920
Assoc/forex/extraord./others	11,504	1,649	9,739	2,693	5,023	36,284	4,403	4,608
Pre-tax profit	61,803	106,097	70,912	56,220	49,648	98,758	86,966	101,397
Tax	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,397)	(13,692)	(16,224)
Min. int./pref. div./others	668	(820)	(450)	105	182	90	0	0
Net profit (reported)	55,780	87,198	60,990	47,211	41,716	89,451	73,274	85,174
Net profit (adjusted)	55,780	87,198	60,990	47,211	41,716	89,451	73,274	85,174
EPS (reported)(TWD)	4.552	7.086	4.930	3.796	3.341	7.112	5.826	6.772
EPS (adjusted)(TWD)	4.552	7.086	4.930	3.796	3.341	7.112	5.826	6.772
EPS (adjusted fully-diluted)(TWD)	4.468	6.973	4.868	3.759	3.314	7.112	5.826	6.772
DPS (TWD)	1.622	3.043	3.639	3.022	2.866	2.602	4.004	4.004
EBIT	51,686	104,293	57,891	51,613	43,949	61,364	80,469	93,869
EBITDA	98,762	148,462	98,374	99,780	103,206	128,164	154,163	163,560

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	61,803	106,097	70,912	56,220	49,648	98,758	86,966	101,397
Depreciation and amortisation	47,075	44,169	40,484	48,168	59,257	66,799	73,695	69,691
Tax paid	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,397)	(13,692)	(16,224)
Change in working capital	(10,151)	(8,262)	916	(2,889)	1,617	(10,600)	(4,500)	(5,500)
Other operational CF items	(1,685)	21,935	(16,840)	1,488	(2,545)	(3,518)	(3,803)	(4,008)
Cash flow from operations	90,352	145,861	86,000	93,872	99,864	142,043	138,666	145,357
Capex	(48,035)	(80,128)	(91,474)	(88,545)	(47,744)	(63,644)	(51,200)	(52,801)
Net (acquisitions)/disposals	(14,290)	28,229	(4,678)	2,625	(7,670)	8,411	0	0
Other investing CF items	162	(2,528)	(1,635)	(21)	2,259	0	0	0
Cash flow from investing	(62,163)	(54,427)	(97,787)	(85,941)	(53,154)	(55,233)	(51,200)	(52,801)
Change in debt	18,818	(34,087)	27,377	(337)	(1,812)	(4,188)	(18,843)	(19,757)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19,871)	(37,445)	(45,015)	(37,586)	(35,784)	(32,729)	(50,353)	(50,353)
Other financing CF items	11,439	21,296	(11,840)	2,438	(3,454)	0	0	0
Cash flow from financing	10,386	(50,237)	(29,478)	(35,484)	(41,050)	(36,917)	(69,196)	(70,110)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	38,574	41,197	(41,265)	(27,553)	5,660	49,892	18,271	22,446
Free cash flow	42,317	65,732	(5,474)	5,327	52,120	78,399	87,466	92,556

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	171,224	178,973	145,621	115,865	129,071	170,552	188,823	211,268
Inventory	23,011	31,070	35,713	35,782	37,228	38,228	41,728	41,228
Accounts receivable	35,190	36,975	29,586	33,343	31,274	40,774	44,774	49,774
Other current assets	3,848	5,353	5,878	4,688	7,211	5,000	5,500	5,500
Total current assets	233,273	252,371	216,797	189,678	204,783	254,554	280,825	307,770
Fixed assets	129,942	170,982	237,377	277,344	271,395	247,284	231,135	220,388
Goodwill & intangibles	28,665	44,852	30,758	30,691	27,445	24,500	26,300	26,000
Other non-current assets	72,547	64,847	74,255	72,487	75,373	78,981	82,783	86,792
Total assets	464,427	533,052	559,187	570,201	578,996	605,319	621,042	640,950
Short-term debt	39,256	7,587	29,537	19,510	27,597	19,751	20,666	15,726
Accounts payable	8,364	8,982	7,526	7,633	9,170	9,070	12,070	11,070
Other current liabilities	57,833	91,996	61,952	48,117	50,832	73,281	81,127	90,239
Total current liabilities	105,454	108,565	99,015	75,260	87,598	102,102	113,862	117,035
Long-term debt	39,830	39,877	45,236	55,533	45,372	49,029	29,272	14,454
Other non-current liabilities	37,941	49,159	55,358	61,222	66,170	66,000	66,000	66,000
Total liabilities	183,224	197,601	199,608	192,016	199,141	217,131	209,134	197,489
Share capital	124,832	125,047	125,298	125,607	125,882	125,882	125,882	125,882
Reserves/R.E./others	156,147	210,060	233,939	252,321	253,887	262,119	285,739	317,192
Shareholders' equity	280,980	335,107	359,238	377,928	379,768	388,000	411,621	443,074
Minority interests	223	344	341	257	87	187	287	387
Total equity & liabilities	464,427	533,052	559,187	570,201	578,996	605,319	621,042	640,950
EV	1,291,553	1,252,303	1,312,961	1,342,904	1,327,454	1,281,884	1,244,870	1,202,767
Net debt/(cash)	(92,138)	(131,509)	(70,849)	(40,821)	(56,102)	(101,772)	(138,885)	(181,088)
BVPS (TWD)	22.508	26.798	28.671	30.090	30.169	30.850	32.728	35.229

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	20.5	30.8	(20.2)	4.4	2.3	17.5	19.6	9.1
EBITDA (YoY)	39.3	50.3	(33.7)	1.4	3.4	24.2	20.3	6.1
Operating profit (YoY)	134.9	101.8	(44.5)	(10.8)	(14.8)	39.6	31.1	16.7
Net profit (YoY)	91.1	56.3	(30.1)	(22.6)	(11.6)	114.4	(18.1)	16.2
Core EPS (fully-diluted) (YoY)	93.7	56.0	(30.2)	(22.8)	(11.8)	114.6	(18.1)	16.2
Gross-profit margin	33.8	45.1	34.9	32.6	29.0	32.6	34.2	35.7
EBITDA margin	46.4	53.3	44.2	43.0	43.4	45.9	46.2	44.9
Operating-profit margin	24.3	37.4	26.0	22.2	18.5	22.0	24.1	25.8
Net profit margin	26.2	31.3	27.4	20.3	17.6	32.0	21.9	23.4
ROAE	21.6	28.3	17.6	12.8	11.0	23.3	18.3	19.9
ROAA	13.3	17.5	11.2	8.4	7.3	15.1	11.9	13.5
ROCE	15.7	28.1	14.2	11.6	9.7	13.5	17.5	20.1
ROIC	23.5	44.0	20.4	13.8	11.1	18.2	24.2	29.5
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.8	17.0	13.4	16.2	16.3	9.5	15.7	16.0
Accounts receivable (days)	53.5	47.3	54.6	49.4	49.6	47.1	46.8	47.4
Current ratio (x)	2.2	2.3	2.2	2.5	2.3	2.5	2.5	2.6
Net interest cover (x)	37.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	68.1	67.1	51.6	61.6	75.8	78.5	56.2	68.7
Free cash flow yield	3.1	4.8	n.a.	0.4	3.8	5.7	6.3	6.7

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	1 UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well
	Capital management	2 It kept its dividend payout ratios above 50% in 2017-24, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate.
	Related party & transaction	1 Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC.
S	Supply chain management	2 UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk.
E	Water & wastewater management	2 UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation.
E	Waste & hazardous materials management	2 To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006.
E	GHG emissions	2 UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 2 Feb 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	72.63%
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Source: Daiwa

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